DEPCOM POWER // A KOCH ENGINEERED SOLUTIONS BUSINESS	Document #	Title	Revision	Released
	DPI-QA-SOP-0012	Observation Reporting	1	9/10/2025

Originator	Approver
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1. Purpose

This Standard Operating Procedure (SOP) defines the documenting, processing, and completion of the Observation process for Site Quality Managers. Observations are the first level of nonconformance reporting.

2. Scope

This SOP applies to any product or process that is potentially out of specification during DEPCOM EPC Construction and/or DEPCOM Commissioning of a construction site, (Fixed, Tracker, BESS, etc.).

3. Definitions & Examples

3.1. **See DEPCOM Definitions Document DPI-QA-QMS-0011:**

3.2. **Examples of Observations:**

- 3.2.1. Customer Complaints and *Observances*
- 3.2.2. Weather Damage
- 3.2.3. Subcontractor Communication
- 3.2.4. DEPCOM QA:
  - 3.2.4.1. Hardware in the wrong stacking order but un-torqued.
  - 3.2.4.2. Hardware left un-torqued.
  - 3.2.4.3. Wire landed at the wrong location.
  - 3.2.4.4. Wire not landed.
  - 3.2.4.5. Wire Management zip-tie too loose, tight, or facing the wrong direction.
  - 3.2.4.6. Incorrect Hardware laid out but not installed. (Torque Beam, Slew Drive, etc.)
  - 3.2.4.7. Battery Not Plugged In.
  - 3.2.4.8. Missing Module Clip or Mounting Hardware.

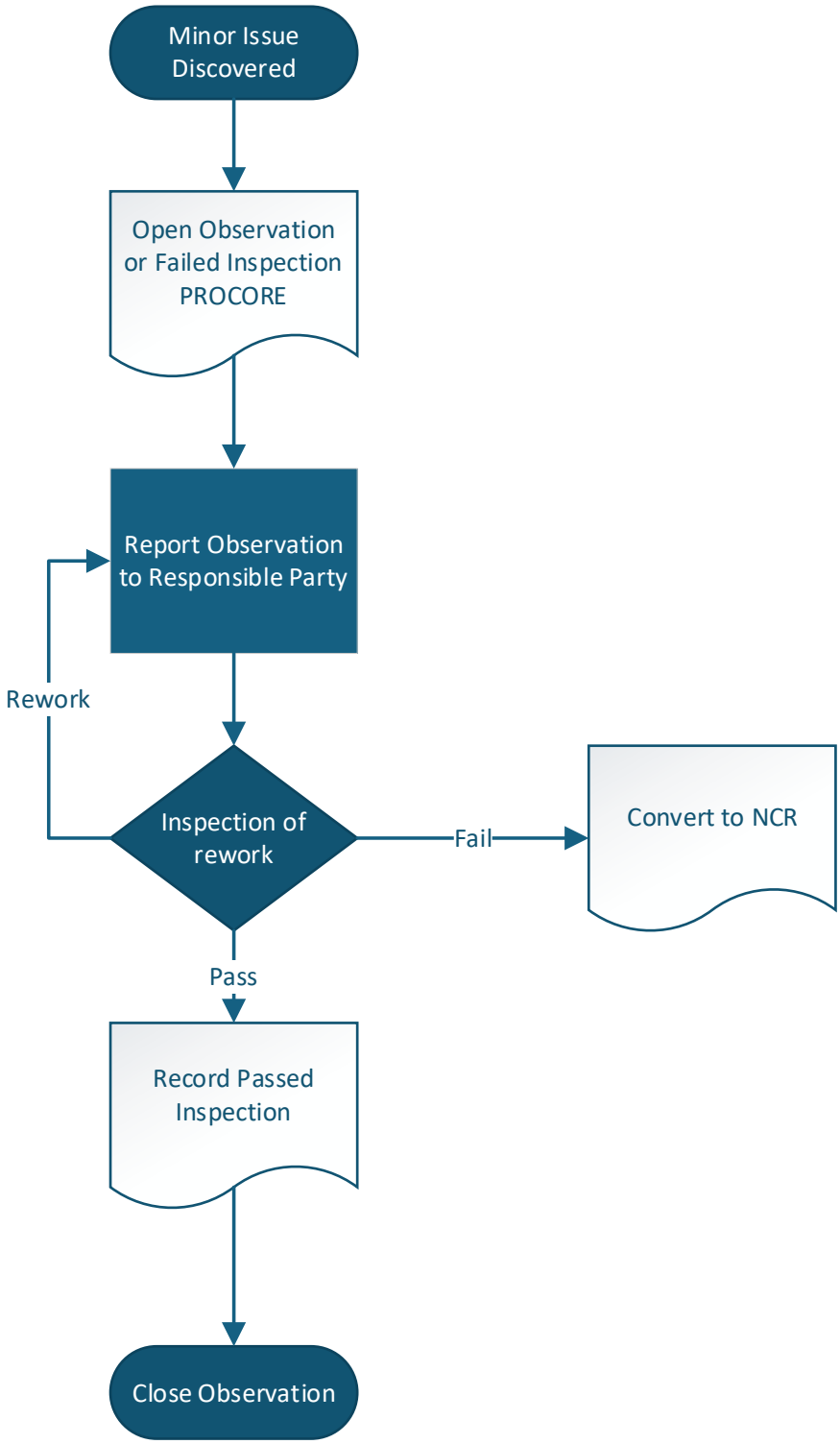
3.3. **Escalation of Observation to NCR**

- 3.3.1. The escalation of an Observation to an NCR in Procore is a simple process in the Procore Software. NCRs require photos of the issue and the part information marking.
- 3.3.2. Generally, an Observation should be converted to an NCR after 3 working days if it is not otherwise complete.
- 3.3.3. Generally, an Observation that is presented after rework and does not meet specifications will be converted to an NCR.
- 3.3.4. Any Observation that is presented in worse condition than originally reported due to rework efforts shall be converted to an NCR.
- 3.3.5. Observations that are repeated multiple times by the same group, (Subcontractor, work team, shift) will require an NCR to allow Preventative Actions to be implemented. (To be decided by the SQM)

4. Responsibilities

ROLE	RESPONSILITIES
Approver (QMS / Quality Manager)	Manages the documentation used for Observation tracking to ensure accurate record-keeping. Reviews requests for accuracy and completeness, ensuring compatibility with project requirements and standards, and assigns part number in ERP system.
Requestor (All DEPCOM Employees)	Initiates Observation Reports and tracks rework and repair.

5. Process Map



6. Procedure

6.1. **Initiation of Procore Observation**

6.1.1. SQM discovers minor issue. (Does *not* need to be during inspection)

6.1.2. SQM Opens Procore Observation Tab.

6.1.3. The SQM gathers necessary and available information, including specifications, failure mode, etc.

6.2. **Opening Of Observation**

6.2.1. Initiate the Observation in Procore.

6.2.2. Upload data, (photos, and drawings are optional).

6.2.3. Inform Responsible Party of condition and need for rework.

6.3. **Inspection and Approval**

6.3.1. SQM Inspects open Observation for completeness.

6.3.1.1. SQM Reviews all open Observations daily for completion or delay.

6.3.2. The SQM Passes or Fails the Observation Rework Inspection within 3 business days.

6.3.2.1. If rejected the SQM provides feedback to the Responsible Party for necessary rework and resubmission, or conversion to NCR.

6.4. **Conversion to NCR**

6.4.1. If the rework of the Observation is delayed more than 5 days, the Observation *can* be converted to an NCR

6.4.2. If the rework of the Observation fails inspection, the Observation *can* be converted to an NCR

6.4.3. If the rework results in further damage to the parts or assemblies, The Observation *will* be converted to an NCR.

6.5. **Notification**

6.5.1. Notify the Responsible Party and relevant project team members of the assigned Observation and any additional steps required for completion and close-out.

6.6. **Documentation and Record Keeping**

6.6.1. Maintain records of all Observation reports and assignments within the Procore quality management system.

6.6.2. Ensure all documentation is stored securely and complies with company policies and regulatory requirements.

7. RACI Chart

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RACI Matrix

R - Responsible	A - Accountable	C - Consulted	I - Informed

AREA/PROCESS	Construction Manager	Site Quality Manager	Project Engineer	Specialty Supervisor	Subcontractor	Role	Role	Role	Role	Role	Role	Role	Role
Activity/Deliverable	**Department**					**Department**					**Departme**		
Finding the Issue	I	R	C	C	I								
Communicating of Issue & Expectation	C	R	I	I	C								
Inspection of Issue	I	R	I	C	I								
Close Out of Observation	C	R	I	I	C								
Convert to NCR	C	R	I	I	I								

8. Revision Table

REV. #	REV. DATE	DESCRIPTION	APPROVER
00	9/09/25	Initial Release	Elijah Richardson
1	9/10/25	Changes from 5 days to 3 days to convert Observation to NCR	Elijah Richardson

9. Exhibits

9.1. ProCore Use Instructions (Click by Click)
9.2. Inspection Process & ITP